

Quiz 3

ECON 308 – International Economic Relations

Instructor: Muhebullah Karimzada

October 21, 2025

Multiple Choice Questions (1 point each)

1. According to the Heckscher–Ohlin model, differences in trade patterns across countries arise primarily due to differences in:
 - (a) Technology
 - (b) Preferences
 - (c) Factor endowments
 - (d) Exchange rates
2. Suppose Canada is capital-abundant and Mexico is labor-abundant. According to the Heckscher–Ohlin theorem, after trade opens:
 - (a) Canada exports labor-intensive goods
 - (b) Canada exports capital-intensive goods
 - (c) Mexico exports capital-intensive goods
 - (d) Both countries export the same goods
3. The Stolper–Samuelson theorem states that:
 - (a) Trade benefits all factors of production equally
 - (b) Trade hurts both factors in the import-competing sector
 - (c) Trade raises the real income of the abundant factor and lowers that of the scarce factor
 - (d) Trade raises the real income of labor but reduces that of capital

4. The Rybczynski theorem implies that, holding goods prices constant, an increase in a country's endowment of labor will:
 - (a) Increase output of both goods
 - (b) Increase output of the labor-intensive good and decrease output of the capital-intensive good
 - (c) Decrease output of both goods
 - (d) Have no effect on production
5. The Leontief Paradox showed that:
 - (a) The U.S. exported capital-intensive goods as predicted
 - (b) The U.S. imported labor-intensive goods despite being capital-abundant
 - (c) The Heckscher–Ohlin model perfectly predicted trade patterns
 - (d) The U.S. was actually labor-abundant in 1947

Problem (15 points)

Consider two countries, **Home (H)** and **Foreign (F)**, that both produce two goods: **Computers (C)** (capital-intensive) and **Textiles (T)** (labor-intensive). Both countries have identical technologies and homothetic preferences.

Factor Endowments:

- Home: $K_H = 300$ units of capital, $L_H = 300$ units of labor
- Foreign: $K_F = 100$ units of capital, $L_F = 300$ units of labor

Production Requirements (per unit of output):

Good	Capital per unit (a_K)	Labor per unit (a_L)
Computers (C)	6	3
Textiles (T)	2	4

- (3 pts) Determine which country is capital-abundant and which is labor-abundant.
- (3 pts) Identify which good is capital-intensive.
- (4 pts) Using the Heckscher–Ohlin theorem, predict the trade pattern between Home and Foreign.
- (5 pts) Using the Stolper–Samuelson theorem, explain what happens to the real returns to capital and labor in Home after trade opens.

Total: 20 Points